



[Weekly Market Commentary](#)

Dear clients,

Crypto markets are in a somewhat fragile state in the aftermath of the Bybit exploit and following a deterioration in the macro environment, given the lack of positive near term idiosyncratic catalysts. Notably, US equities dipped early in the week but retraced after pricing in some of the latest tariff headlines and weaker consumer confidence data. The budget approval by the US House of Representatives along party lines fortunately helped alleviate investor concerns around potential challenges to passing a timely budget, allowing market sentiment to bounce back somewhat. Still, it seems to be taking bitcoin comparatively longer to recover some key psychological levels, after reaching prices not seen since the US elections (November 2024).

Institutional flows have reflected the uneasy mood. Over the past week, more than \$2.9B has been withdrawn from US spot bitcoin ETFs. Concurrently, lending markets have echoed the risk-off sentiment as leverage diminished and funding rates declined across the board. The start of the week saw nearly \$2B in perpetual futures liquidations, which significantly reduced the remaining leverage within the system. Meanwhile, the CME basis has dropped to 5% for both BTC and ETH, marking the lowest BTC CME basis since March 2023.

In macro, the weaker consumer sentiment reflected in both the University of Michigan Consumer Sentiment Index (down 10% MoM) as well as the The Conference Board's Consumer Confidence Index (down 7% MoM) exacerbated fears of an economic slowdown in the US. Indeed, this was the single largest monthly decline for the latter since August 2021. Although this challenges our more constructive market outlook, we haven't changed our view on the growth story in the US but recognize the market is currently looking for signs of weakness across nearly all asset classes.

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Best,
The Coinbase Institutional Team

Weekly Market Call

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